

INVESTMENT OBJECTIVE AND THE NEED IT ADDRESSES

Theme: global real capacity. The power, water, grids, ports, airports, fibre and data centres that the cost of a young Filipino's firsts runs on, and the equipment makers that build them. A global theme rather than a bet on one country, and deliberately not a technology fund.

Objective. Long-term capital growth from thirty-three companies, held directly, that own or supply long-lived physical and network capacity. One pooled fund with a single share price, making no promise about any individual investor's goal date.

The need. A Filipino aged 18 to 25 has a peso salary and peso goals, both tied to one economy. BPI's own Philippine Equity Index Fund returned **0.52% a year** after fees, and the closest global product on the shelf buys other funds, charges a second fee layer and finished **4.19 points a year behind** the index it targets. What is missing is a **peso-priced global growth fund, holding shares directly, that someone with P100 can buy.**

No home quota, in the rules or the sourcing. An earlier draft fixed 30% in the Philippines. Removing the quota was not enough: we had also sourced candidates mostly from home, so 31% still landed there. Map now gives every region the same slots: the two largest verified companies per capacity type in Asia-Pacific (Philippines included), Europe and the Americas. The Philippines holds **8.29%** (ICTSI, Manila Water), above its 6% share of slots because PSE stocks barely move with the rest. A one-third country cap remains as a backstop.

Why the risk level is what it is. A young investor puts money in every month. We shuffled the Fund's 60 monthly returns 20,000 times, which changes the path but never the total. A weak first half made the monthly contributor **richer** and the person drawing down **poorer** (correlations of -0.85 and $+0.85$), because someone paying in buys more units while prices are low. In all 20,000 orderings, P1,000 a month in the Fund beat the same money in a 4.5% money market fund (P67,238).

KEY FACTS

Theme	Global real capacity
Fund structure	Single pooled fund, unitized
Classification	Aggressive
Minimum initial	P100
Contribution rails	Payday · Sukli · top-up
Minimum recurring	P100 / month
Recommended horizon	5 years and above
Currency	Philippine peso
Holdings	33 direct securities
Management fee	1.50% p.a.
Liquid reserve	10% (Rule 6.10)
Single-issuer cap	10% (Rule 6)
Country cap	One third (33.3%)
Weighting method	Equal risk contribution
Benchmark	MSCI ACWI, in PHP
Valuation	Daily, NAVPS

How holdings are sized. Each holding is set to add the same share of portfolio risk, judged by how the thirty-three moved together over the previous three years. Nothing is sized on opinion. Today each contributes between 2.7% and 3.1% of total risk against a 3.0% target. The one below target is held back by a rule: Manila Water, by its liquidity cap.

How a dated goal gets funded. The Fund is half the journey. The other half is an **account-level glidepath**: from 24 months out, monthly transfers move the balance into a money market fund, leaving 15% here on the date. We put the worst 12 months in 36 years (Mar 2008 to Feb 2009, -29.4%) into the final year of every shuffled path. The glidepath won in 100% of them and lifted the worst outcome from P46,734 to P64,838. In normal markets it costs about P9,734 at the median. Goals under five years are declined at sign-up, with a reason.

PERFORMANCE · SIMULATED, AFTER THE 1.50% FEE · 1 OCT 2021 TO 2 OCT 2026 · WEIGHTS USE ONLY DATA AVAILABLE AT EACH QUARTER

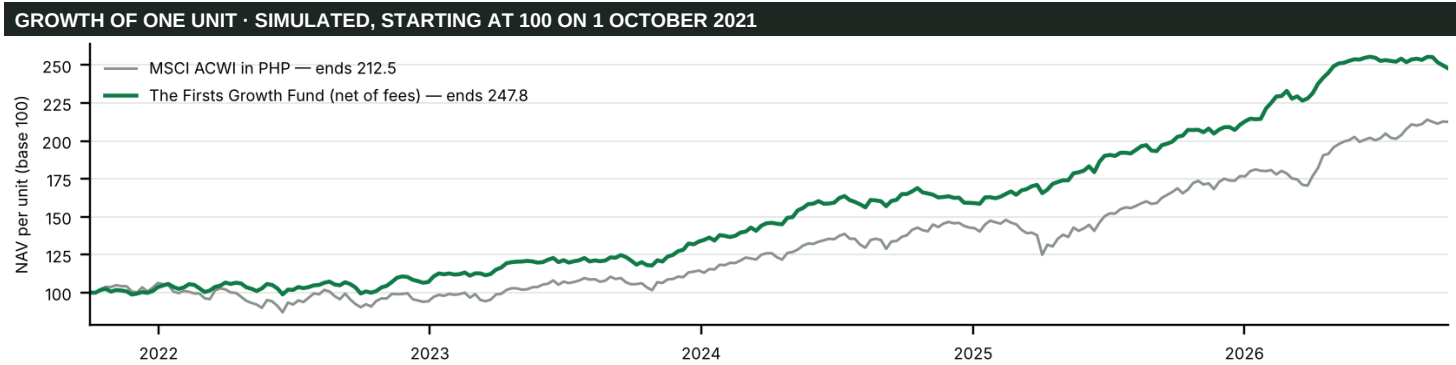
9.95% Volatility p.a. vs 14.79% index	0.49 Beta to MSCI ACWI	-7.33% Maximum drawdown P366 on P5,000	1.49 Sharpe ratio vs 0.76 index	19.82% Return p.a., net vs 16.21% index
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Risk comes before return on purpose: the return figure is the least reliable number on this page. Over 36 years the same method fell 48% and moved 0.88 as much as the market; see the long-history panel below.

Period	Fund	MSCI ACWI (PHP)	Risk statistic	Fund	Index
2021 (from 1 Oct)	+3.59%	+6.34%	Volatility p.a.	9.95%	14.79%
2022	+3.29%	-11.35%	Downside deviation	6.16%	9.57%
2023	+24.92%	+21.54%	Sharpe ratio	1.49	0.76
2024	+19.07%	+24.70%	Sortino ratio	2.41	1.17
2025	+32.32%	+23.73%	Maximum drawdown	-7.33%	-18.20%
2026 (to 2 Oct)	+17.70%	+20.24%	Worst rolling 12 months	-1.81%	-11.35%
Last 12 months	+22.26%	+25.96%	Best rolling 12 months	+44.29%	+46.09%
3 years p.a.	+27.92%	+26.26%	12-month periods positive	99%	87%
Since 1 Oct 2021 p.a.	+19.82%	+16.21%	Beta / correlation	0.49 / 0.73	1.00 / 1.00
			Excess return over index, geometric	+3.11%	—

The Fund led the index in 2022, 2023, 2025 and trailed it in 2024, and by 3.70 points over the last twelve months, when chip and AI shares drove the index. A portfolio that moves less than the market lags a fast-rising one; the same property gave a +3.29% year in 2022 against -11.35% .

Risk-free rate: BSP policy rate, averaging 4.99% a year over the period. In pesos, for someone paying P1,000 a month: the 7.33% worst fall on a P5,000 balance is P366, about 2 weeks of contributions; the worst twelve months, 1.81%, is P90.



THE SAME METHOD OVER 36 YEARS · US INDUSTRY PROXIES, SAME RULES AND FEE · JAN 1990 TO AUG 2026

1990–2026, in PHP	This method	Market fund
Return a year	11.2%	11.7%
Largest fall	-48.1% (2007–09)	-43.9%
Months to recover	72	72
Beta to US market	0.88	0.92
Dot-com fall, 2000–02	-26.2%	-37.2%

The five years above were calm for this Fund. Rebuilt from industry returns with the same rules, reserve and fee, the method matched a market fund with the same costs over 36 years and fell almost as far in 2008. Its edge was the dot-com crash. **Plan for a fall of up to half.** In the 1997–98 crisis, when the peso went from P26.4 to P39.1 per dollar, the same global holdings gained 87% in pesos: the reason the Fund is left unhedged. Proxies are US-listed industries, so they move together more than thirty-three companies in fourteen countries would.

IMPORTANT. All figures are simulated and prepared with hindsight; simulated performance does not represent actual trading and cannot account for real dealing costs, taxes, liquidity or a manager's decisions under live conditions. Past simulated performance is not a guarantee of future results. The value of an investment can fall as well as rise, and an investor may get back less than the amount invested. Not an offer, solicitation or investment advice, and not a BPI Wealth product; no fund described here exists.

HOLDINGS · THE MAP GRID · 33 COMPANIES, WEIGHT OF FUND					ALLOCATION		
Capacity type · first served	Asia-Pacific · 38.37%	Europe · 26.57%	Americas · 25.06%	Row	By listing		
Power generation & grid Housing, business · Owner	NTPC IN 2.48%	Iberdrola ES 3.31%	Southern Company US 4.29%	16.45%	United States	17.98%	
	Adani Power IN 2.19%	Enel IT 2.42%	Constellation Energy US 1.75%		Hong Kong / China	11.49%	
Water Housing · Owner	Manila Water PH 4.18%	Veolia FR 2.05%	American Water US 4.62%	13.96%	India	10.37%	
	Only one passed every test	Only one passed every test	Sabesp BR 3.11%		Philippines	8.29%	
Telecom & digital infrastructure Education, business · Owner	China Mobile HK 4.69%	Swisscom CH 5.23%	T-Mobile US US 3.29%	22.84%	France	6.86%	
	Bharti Airtel IN 3.44%	Deutsche Telekom DE 3.21%	Verizon US 2.98%		Germany	6.06%	
Ports Transport, business · Owner	ICTSI PH 4.11%	None passed: HHLA fails debt and liquidity	No listed operator of size	6.38%	Spain	6.00%	
	Adani Ports IN 2.27%				Switzerland	5.23%	
Airports & toll roads Travel, transport · Owner	Jiangsu Expressway HK 4.13%	Aena ES 2.69%	GAP (Pacífico) MX 2.03%	15.42%	Japan	4.00%	
	Zhejiang Expressway HK 2.67%	Vinci FR 1.96%	ASUR (Sureste) MX 1.94%		Mexico	3.97%	
Power & grid equipment Housing, business · Supplier	Mitsubishi Electric JP 2.01%	Siemens DE 1.71%	None passed: GE Vernova, Eaton, Quanta, Vertiv all priced above 22×	7.30%	Brazil	3.11%	
	Hitachi JP 1.99%	Schneider FR 1.59%			Taiwan	2.50%	
Semiconductors Education, business · Supplier	TSMC TW 2.50%	STMicroelectronics FR 1.25%	Micron US 1.05%	7.65%	Italy	2.42%	
	Samsung KR 1.71%	Infineon DE 1.13%	Only one passed every test		South Korea	1.71%	
					Liquid reserve	10.00%	
					Sector · GICS		
					Utilities	30.40%	
					Industrials	29.10%	
					Comm. Services	22.84%	
					Info. Technology	7.65%	

Reading the grid. Map decides *who* is held: in each cell, the two largest companies by US-dollar market value that pass all four Verify tests. The risk model decides *how much*: a holding that swings less, or moves less with the rest, gets more money, so each adds 2.7–3.1% of the risk. Swisscom swings 15% a year and gets 5.23%; Micron swings 63% and gets 1.05%. Another 25 companies passed the money tests but ranked third or lower in their cell.

THE RULES THE PORTFOLIO MUST OBEY · ALL MET AT ONCE		
Limit	Rule	Actual (largest)
Owners	≥ 45%	75.05%
Suppliers	≤ 25%	14.95%
Platforms	≤ 20%	0.00%
Liquid reserve	10%	10.00%
Single issuer	≤ 10%	5.23% Swisscom
Single group	≤ 15%	8.29% Razon group
Single country	≤ 33.3%	17.98% United States
Liquidity	5 days at 20% of volume	4.18% Manila Water

One holding sits at a limit: Manila Water at its liquidity cap, which assumes a P1 billion launch size. Every other weight came out of the risk model, and every rule held at all 21 quarterly rebalances. Groups are counted by controlling shareholder: ICTSI and Manila Water (Razon), Adani Ports and Adani Power (Adani), NTPC (Government of India).

Where the fund is still concentrated. The thirty-three behave like about 7.3 independent bets. Two shared forces carry 66.3% of the risk: the global chip and AI-power cycle (Micron, Infineon, STMicroelectronics, Samsung, Constellation Energy) and Indian infrastructure (Adani Power, Adani Ports, NTPC). This is the largest risk we have not removed.

HOW THIS FUND COMPARES			
Fund	Structure	Min.	5-yr p.a.
BPI Global Equity Fund-of-Funds	Buys 11 funds; 1.50% plus their fees	₱1,000	7.15%
BPI Philippine Equity Index Fund	Passive, 32 PSEi names, 1.50%	₱1,000	0.52%
Pag-IBIG MP2	Government savings, tax-free	₱500	7.1%
The Firsts Fund	33 direct holdings in 14 markets, 1.50% single layer, no country quota	₱100	19.82% simulated

Compare the structures, not the returns: ours is simulated and theirs are live. What holds without our return: the closest product targets the same world index, finished 4.19 points a year behind it, and charges a second fee layer. Where MP2 beats us, we say so: for a goal three to five years away it is the better product, and our sign-up screen sends people there.

CLIENT SUITABILITY

For an investor with a goal five or more years away who can contribute regularly and keep going through a fall of up to half, as in 2008. Not for money needed within five years, an emergency fund, or someone who would stop after a bad year. For all three a money market fund is right, and our sign-up screen sends them there.

THE TEAM

Prince Angelo C. Rivera · Luis Tengonciang · Karol Josef Fuñe · Eric Fabian Thirdy Mendez. Team Los Angeles 76ers. All four study BS Applied Mathematics with a Master in Data Science at Ateneo de Manila University, and built the screens, weighting engine, constraint stack, shuffle test and simulations in Python.

IMPORTANT. All figures are simulated and prepared with hindsight. Not an offer or investment advice and not a BPI Wealth product. Full risk disclosures appear on page 1. References to Investment Company Act rules 6 and 6.10 are the authors' reading, unreviewed by counsel or any regulator. Debt and price tests and market values use S&P Global Market Intelligence data via stockanalysis.com as of 7 October 2026; capacity targets are cited in the holdings annex. Prices: PSE Edge (PSE names, with cash dividends) and Yahoo Finance (total return), converted to pesos weekly. Reserve yield: BIS policy-rate series for the BSP. Long history: Kenneth French Data Library and BIS exchange rates. Benchmark: iShares MSCI ACWI ETF in pesos. Comparison funds: BPI and Pag-IBIG disclosure statements. GICS sectors assigned by the team.

HOW WE PICKED THE 33 · THREE STEPS, IN ORDER

M Map the milestone. Five firsts map to seven kinds of capacity: housing to power, water and grid equipment; transport to ports and roads; education to fibre, data centres and chips; travel to airports; a first business to all of these. Each type is sourced in three regions on equal terms (Asia-Pacific with the Philippines, Europe, the Americas), ranked by market value: 105 listed candidates. Health is not a first, so hospitals are out.

V Verify the investment. Four pass/fail tests, no scores. **Theme:** a published capacity target with a number and a date, cited for every holding. **Debt:** net debt at most 4.0× EBITDA (6.0× for GICS Utilities) and interest covered at least 2.5×. **Price:** EBITDA at least 4.5% of enterprise value (EV/EBITDA ≤ 22.2×), the yield of the money market fund our sign-up screen offers instead. **Liquidity:** a full position must be sellable in five days at 20% of daily volume. Out, for example: NextEra, National Grid, Vodafone (debt); NVIDIA, ASML, GE Vernova, ABB (price); Guangdong Investment and Orange (no dated target). Every candidate and reason is in the annex.

P Position the risk. Only after V. Equal risk contribution on the previous three years of weekly peso returns, re-solved every quarter with only the data available then, inside the rules on the left.

How to read the simulation. We chose the thirty-three in October 2026, ranking by today's market values, and applied the rules to their past prices. That tests the method, not stock-picking in 2021, and it flatters the result: ranking by today's size favours companies that grew fastest, such as the memory-chip makers. Plan on the 36-year figures.

THE MAIN RISKS, AND WHAT WE DO ABOUT EACH

Risk	How it is managed, and what remains
Market and equity	90% equities, Aggressive. 10% reserve; sizing keeps each holding near a 3.0% share of risk. Reduced, not removed: the same method fell 48% in 2008–09.
Concentration and factor	Issuer ≤ 10%, group ≤ 15%, country ≤ 33.3%, role limits. Two shared forces still carry 66.3% of risk, so a chip downturn or an Indian sell-off hits several holdings together.
Currency, country and liquidity	About 82% non-peso, unhedged on purpose: salary and goals are already in pesos. Fourteen listing markets. Every position passes the five-day liquidity test. China Mobile is on a US investment-restriction list; not binding on a Philippine fund, but to be cleared by compliance.
Sequence risk near the goal date	Account glidepath from 24 months out. With a 2008-size crash in the final year, worst outcome ₱46,734 → ₱64,838; typical cost ₱9,734.